

The Omnichannel Availability Gap

Meridian runs **600 stores** and online across **8 countries** on fragmented inventory systems. Customers see unreliable availability; competitors offer unified stock visibility and faster fulfilment.

PROBLEM

12% Pickup Cancellations, Root Cause Unproven

Click-and-collect cancellations at pickup are **12%**. Drivers may include allocation, POS latency, inventory accuracy, returns, shrinkage, or store execution; pilot must isolate causes.

Known symptom

Customers reserve or order items that are unavailable at pickup.

Unknown cause

Forecasting may not be the only, or main, failure mode.

Pilot role

Prove which causes are material before scaling investment.

Inventory Availability & Allocation Pilot

Diagnose phantom stock causes, then test demand forecasts and allocation recommendations. Planners approve actions. Goal: **prove cancellations can fall sustainably** before rollout.

1. Diagnose

Identify where availability breaks across systems and store operations.

2. Recommend

Use demand and inventory signals to suggest allocation actions.

3. Validate

Measure cancellation reduction and planner adoption before rollout.

How It Works

Daily: reconcile SAP, OMS, POS, store counts, and returns. Flag latency or accuracy gaps. Forecast demand, recommend reallocations, capture planner decisions, measure cancellation impact.

Daily Data

SAP, OMS, POS, store counts, returns.

Diagnostics

Detect latency, mismatch, and accuracy gaps.

Recommendations

Forecast demand and suggest reallocations.

Measurement

Track adoption and cancellation impact.

Pilot-Validated Upside: €0.8–2.3M

Value range requires Finance sign-off using Meridian orders, margins, cancellations, churn, and recoverable-rate evidence. **Churn benefit remains upside** until transaction data proves it.

Hard evidence

Orders, cancellation volume, average margin, recoverable rate.

Conditional upside

Churn reduction included only when transaction data supports it.

Finance gate

Rollout economics require Finance validation after pilot.

Stage-Gated Economics

Fund pilot first: **€250–350K for 12 weeks**. Full rollout estimate, integration complexity, run cost, and payback are recalculated after evidence gates.

Gate 1

Baseline cancellations and root causes.

Gate 2

Validate data latency and inventory accuracy.

Gate 3

Prove planner adoption and measurable impact.

Rollout Decision

Re-estimate cost, timing, run cost, payback.

Sensitivities That Can Kill Value

Top drivers: true allocation-driven cancellation share, inventory accuracy, SAP/OMS/POS latency, and planner adoption. If these fail, **model accuracy will not deliver margin.**

Allocation-driven share

If low, allocation optimization has limited commercial leverage.

Data reliability

Latency and inaccurate stock records can swamp forecast gains.

Planner adoption

Recommendations must be trusted and acted on consistently.

Evidence Gates Before Rollout

Proceed only if: root cause share is material, cancellations drop measurably, **≥70% planner adoption**, data latency acceptable, and Finance validates the business case.

Cause

A material share of cancellations must be addressable by this solution.

Impact

Cancellation reduction must be measurable, not anecdotal.

Adoption

At least 70% planner adoption within pilot window.

Pilot Investment & Sponsorship

Approve **€250–350K pilot budget**, two sponsor countries, SAP/OMS access, planner participation, and Finance support. No 8-country rollout approval requested today.

Budget

€250–350K for 12-week pilot.

Access

SAP, OMS, POS, planner workflows, store data.

Decision

Rollout considered only after evidence gates.

NEXT STEPS

30-Day Validation Plan

Week 1: baseline cancellations. Week 2: map data flows. Week 3: isolate causes. Week 4: prototype forecast and allocation recommendations with planners.

Week 1

Baseline cancellations and margin exposure.

Week 2

Map SAP, OMS, POS, store-count data flows.

Week 3

Isolate root causes and addressable share.

Week 4

Prototype recommendations with planners.